Malwa Asset Firm

Your Binding Constraint: Cash Flow

You do the work but don't collect efficiently. You're financing your customers' projects with your own cash. Here's how to fix it.

How This Shows Up

DSO above 45 days. Borrowing from a line of credit to make payroll every month. Invoices go out 2-4 weeks after job completion. Less than 75% of AR is current. Bad debt write-offs exceed 3%.

How It Plays Out by Industry

HVAC: Best cash flow profile — most work paid at completion. Problem is commercial work (net 30-60) and service contracts billing monthly.

Plumbing: Service work paid immediately. Problem is new construction/remodel where GCs pay net 30-60.

Electrical: Material costs — $1,500 in materials paid upfront but not collected for 30-60 days.

The Most Common Mistakes

1. Paper invoicing — adds 2-4 weeks to collection cycle
2. No payment terms enforcement — "net 30" means net 45-60
3. Invoicing delays — 2-4 weeks after job completion
4. No progress billing on large jobs
5. No AR aging review

The Fix: Step by Step

Step 1: Switch to electronic invoicing — cuts DSO by 6-10 days immediately.

Step 2: Set up automated payment reminders — Day 15, Day 30, Day 45.

Step 3: Invoice within 48 hours of job completion.

Step 4: Implement progress billing on jobs over $5,000 — 30% deposit, 30% midpoint, 40% completion.

Step 5: Review AR aging weekly — anything over 45 days gets a call.

Do's and Don'ts

Do: Use electronic invoicing with automated reminders. Invoice within 48 hours. Require deposits on jobs over $5K. Review AR aging weekly. Charge and enforce late fees.

Don't: Mail paper invoices. Let invoicing pile up. Finance large jobs without progress billing. Ignore AR over 60 days.